

Gross	\$49,662,000
Net, after minority interest	18,887,000
Depreciation for year ending June 30, 1925	5,214,000
Balance for fixed charges	13,673,000
Interest and preferred dividends of subsidiaries	10,102,000
Interest charges of parent company	1,736,000
Total fixed charges	11,838,000
Balance for parent company dividends	1,835,000
Fixed charges earned	1.16 times

This showing is very different indeed from a coverage of 4.1 or 4.9 times interest as indicated in the offering circular.

Deduction of Federal Taxes in Computing Interest Coverage. The federal income tax is imposed upon profits after subtracting interest paid. Hence earnings available for interest should properly be shown before deducting the federal tax. In corporate reports to stockholders it is customary to reverse this order, and in many cases the amount of the tax is not shown. But in analyzing the exhibit of a bond issue, it should not be necessary to revise the income statements by adding back the federal taxes, actual or estimated. The reason is that the result produced by such revision can very rarely make enough difference to affect the apparent eligibility of the bond issue for investment. Furthermore, the error, such as it is, lies on the side of understatement—which is by no means objectionable in the selection of investment bonds. In general, the analyst should refrain from elaborate computations or adjustments which are not needed to arrive at the conclusion he is seeking.

In bond-offering circulars, the income available for interest is usually stated before deduction of federal tax, in order to make the best showing permissible. This cannot properly be objected to, except sometimes in the case of offerings of bond issues of public-utility holding companies. Such bonds are usually junior to the preferred stocks of subsidiary companies, and the federal tax must be computed and deducted before these dividends are paid. Hence, objection may fairly be leveled against a presentation such as was made in the offering circular of Cities Service Power and Light Debenture 5¹/₂s in November 1927, wherein the earnings applicable for interest on the holding company's bonds were stated before deducting federal taxes of the system.